higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

MARKING GUIDELINE

NATIONAL CERTIFICATE

ENTREPRENEURSHIP AND BUSINESS MANAGEMENT N4

(Second Paper)

15 NOVEMBER 2019

This marking guideline consists of 7 pages.

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SECTION B

QUESTION 1

1.1
- Business people
- Private individuals
- Tourists
- Foreign embassies
- Wealthy people (Any 3 × 2) (6)

1.2 The company offers private jet✓✓ and helicopter charter flights.✓✓ Native Airways flies to niche destinations around the country, including Parys, Sun City and Knysna, as well as to more exotic locations, such as Madagascar, Zanzibar and islands around Mozambique.✓✓ (4)

1.3 He launched Native Airlines in 2012 with the financial assistance of the Development Bank of Southern Africa. ✓✓ This enabled him to lease six private jets and six helicopters. ✓✓ (4)

1.4 1.4.1 Native Airways flies to niche destinations / He saw a gap in the aviation industry.✓✓
At the age of 22, Mohlauli designed and built a golf course on government-owned land near 'Sun City' prison in the south of Johannesburg, which he used to coach children to play golf.✓✓
Two years later, he revived a golf course in Johannesburg's Roosevelt Park, which helped him raise enough cash to finally study for his pilot's licence.✓✓
Mohlauli says he is also planning to build an airport in Soweto (airport in a township).✓✓

1.4.2 He lined up five pilot friends to help him get his fledging airline off the ground.✓✓ He launched Native Airlines in 2012 with the financial assistance of the Development Bank of Southern Africa (organised funds).✓✓ This enabled him to lease six private jets and six helicopters.✓✓

(2 × 6) (12)

1.5 With big commercial flights you have to check what time the plane leaves and work out your trip according to that schedule.✓✓ Private travel offers more flexibility.✓✓ It is safe,✓✓ it is quick✓✓ and it travels according to the customer's schedule.✓✓ (8)

1.6

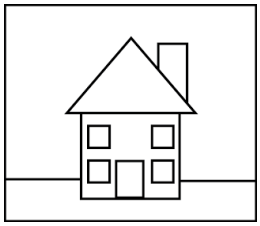
MARKET POTENTIAL	
MARKET POTENTIAL PER MONTH	✓✓6167
MARKET POTENTIAL SHARE	✓✓3700
SUPPLIER DISCOUNT	✓✓1,1
MONTHLY FIGURES	
NUMBER OF UNITS TO BE SOLD IN ONE MONTH	3700
SELLING PRICE PER UNIT	✓✓55
COST PRICE PER UNIT (22 – 1,1)	✓✓20,9
GROSS PROFIT PER MONTH	
MONTHLY SALES	✓✓203 500
MONTHLY UNIT COSTS	✓✓77 330
GROSS PROFIT PER MONTH	✓✓126 170

(16)
[50]

QUESTION 2

2.1 Bed and Breakfast (B&B)
Interior decorator
Garden services
Pet shop
Fruit and vegetable stall
Food truck business (2)

2.2 Bed and Breakfast – service (2)

2.3 
✓✓ **SILVER LAKE B&B** ✓✓ (4)

2.4 Our major customers are tourists who prefer the cosy environment of a B&B✓✓ and local patrons who need the facilities for various events.✓✓ We also cater for private and corporate guests who enjoy warmth and professionalism.✓✓ Silver Lake focuses on quality, luxury but affordable lodging.✓✓ (8)

2.5 Free Wi-Fi ✓✓ Good location✓✓ Laundry services✓✓ Friendly staff✓✓ Good location✓✓ Safe and secure parking✓✓ (8)

2.6 We are centrally located and within easy reach of the two popular shopping centres,✓✓ 20 km from the international airport✓✓ and 2 km from two private hospitals.✓✓ (4)

2.7 Accessibility✓✓ Visibility✓✓ Parking facilities✓✓ Security for customers and suppliers to deliver✓✓ Clean and good infrastructure✓✓ (8)

2.8 The owner carries all risks and gets all profits✓✓ Sole trader✓✓ (4)

2.9 Job title: Receptionist✓✓
Report to: Owner/Manager✓✓
Duties:
- Answering telephone✓✓
- Filing and administration✓✓
- Coordinating guest bookings✓✓
- E-mailing communication✓✓ (10)

[50]

QUESTION 3

3.1 3.1.1



(10)

3.1.2
- Day care centre
- Nursery furniture
- Baby body care products
- Jumping castles
- Clothes and accessories (5)

3.1.3 Day care centre (1)

3.1.4
- Safety and security
- Extended hours
- Experienced staff (Any 2 × 2) (4)

3.1.5 S – Well-qualified staff
W – Maintenance costs can be expensive
O – Expansion
T – Competition (4 × 2) (8)

3.1.6 Name of the business✓✓ Logo✓✓ Picture✓✓ Price✓✓ Place✓✓ Attention-getting strategy (e.g. discount, save, the best)✓✓ Neat layout✓✓ (12)

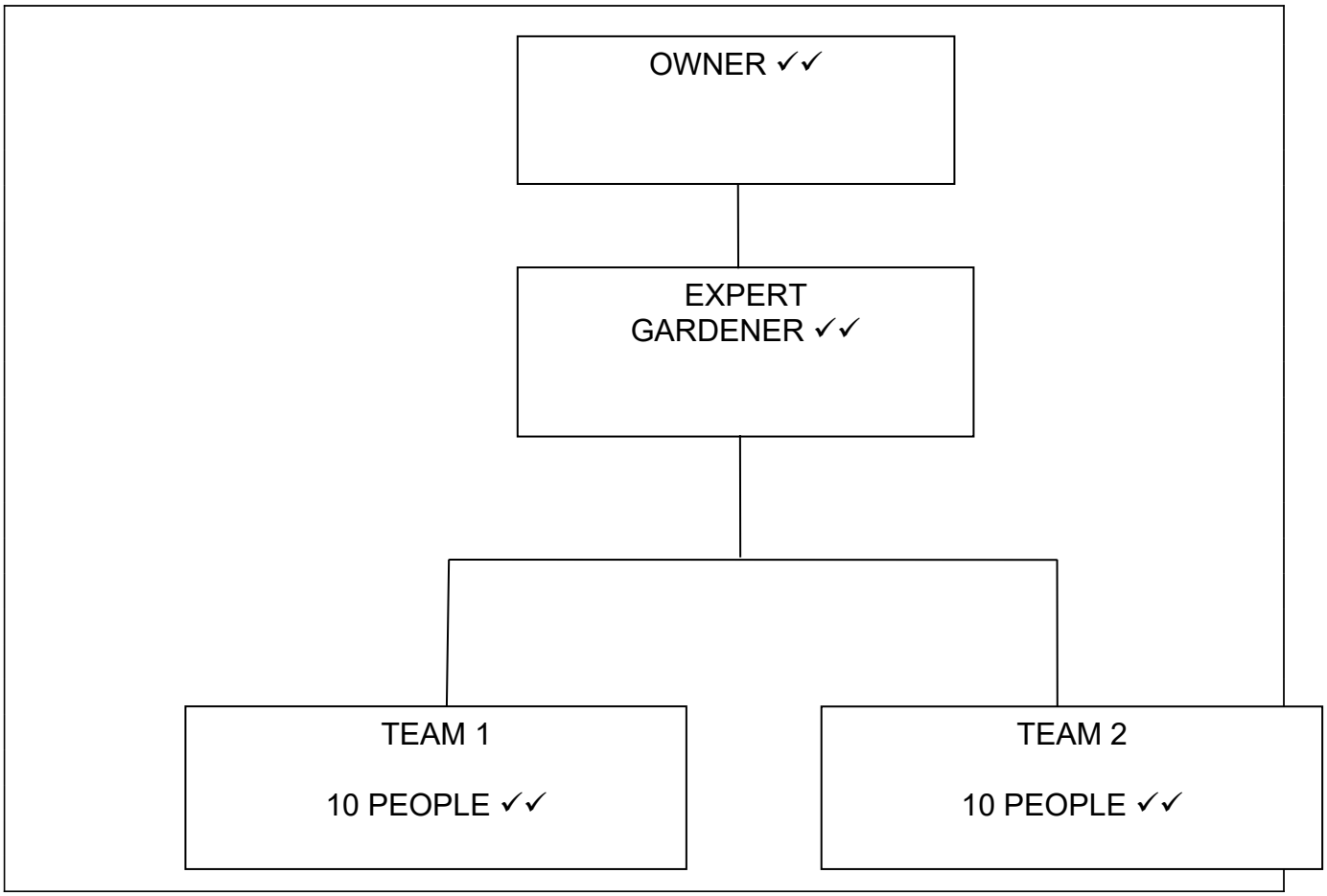
3.2 3.2.1 FIXED COSTS/GROSS PROFIT %✓
= 5 500✓ 80%✓
= R6 875✓✓

3.2.2 FIXED COSTS/GROSS PROFIT✓
= 5 500 + 4 500✓/350 – 120✓
= 10 000/230
= 43✓✓

(2 × 5) (10)
[50]

QUESTION 4

4.1 4.1.1



(8)

4.1.2

JS GARDEN SERVICES ✓✓

Please complete and return to our office at 102 BOK STREET, ROOM 111. ✓✓

Did we arrive on time? ✓✓

Did we do everything you requested? ✓✓

Will you make use of our service again in the future or recommend us to a friend? ✓✓

What did you like about our service? ✓✓

What can we improve to serve you better? ✓✓

Any other suggestions:_____

(14)

4.1.3
- Computer
- Cabinet
- Drawers
- Photocopier
- Printer (5 × 2) (10)

4.2 **INCOME STATEMENT**

Sales		**✓✓R420 000**
Less: Cost of sales		**✓✓R152 000**
Opening stock	✓R92 000	
Purchases	✓R165 000	
Less closing stock	✓R105 000	
Gross profit		**✓✓R268 000**
Less: Expenses		**✓✓R64 720**
Salaries	✓R40 200	
Stationery	✓R5100	
Telephone	✓R8 400	
Printing	✓R1 020	
Advertising	✓R10 000	
Net profit		**✓✓R203 280**

(18)
[50]

TOTAL SECTION B: 150
GRAND TOTAL: 200